

cartons, supermarket bulletin boards, and bathroom walls, although I've found those sources to be less helpful. When you see an institution offering good rates, buy a CD. Be careful, though. You must make certain your CDs are insured by the FDIC or FSLIC. Beware of guarantees by state or private insurance groups. The FDIC and FSLIC are U.S. government agencies that insure deposits up to \$100,000. The U.S. government itself has a moral obligation to step in if those agencies lack funds to cover losses.

Buy the CDs to mature every month or two throughout the year. To set this up during the first year or two, you may need to go out fourteen or sixteen months or whatever to line up your maturities. After the initial period, you simply roll each CD for one year when it becomes due.

Suppose, for example, you have \$500,000 including a \$50,000 IRA. First you sell the investments in your IRA and buy a one-year CD with the proceeds. Then divide another \$50,000 of your net worth between your checking and money-market accounts. That's your liquid money for day-to-day expenses. The third step is to take the remaining \$400,000 and buy eight one-year CDs of \$50,000 each. Stagger them so that one CD matures every month or two throughout the year. On four of the CDs, roll the principal and interest at maturity. That keeps your capital roughly intact for inflation. On the other four CDs, roll the principal but ask to have the interest deposited in your money-market account. That's the money you'll live on during the year.

Vicki handles the investments in our household. She takes an hour or two each month to record CD numbers, check bank statements, modify standing instructions, and the like. When we travel, often for months at a time, she forgets about it entirely. No problem. Nothing requires day-to-day or even month-to-month control.

When we travel we get cash advances on VISA or MasterCard for the dollars or foreign currency we need. Our bank pays the monthly VISA and MasterCard bills by auto-